FINM3013 Introduction to Financial Derivatives

Chapter 02

Solution to Class exercises

1. B. Amounts in the margin account in excess of the initial margin can be withdrawn. Each $1 increase in the futures price leads to a gain of $1000. When the futures price increases by $2 the gain will be $2000 and this can be withdrawn. The futures price is currently $60. The answer is therefore $62.
2. B. The open interest goes down by one. This is because the trade eliminates one outstanding long position and one outstanding short position.
3. A.
4. D. Initial margin requirements dramatically reduce the risk that a party will walk away from a futures contract. As a result they reduce the risk that the exchange clearing house will not have enough funds to pay profits to traders. Furthermore, if traders are less likely to suffer losses because of counterparty defaults, there is less systemic risk.
5. B